

BETTORS TELL US HOW TO WIN... WE JUST HAVE TO LISTEN.



Sportsbook analysis covering over 30k bettors & 2M bets from April 2021 to March 2022.



TABLE OF CONTENTS

Who Stays, Who Churns, and Why?

Seasonality of the Sportsbook

An Under-leveraged Player Segment

Cross-Sell Strategy (Weaknesses to Strengths)



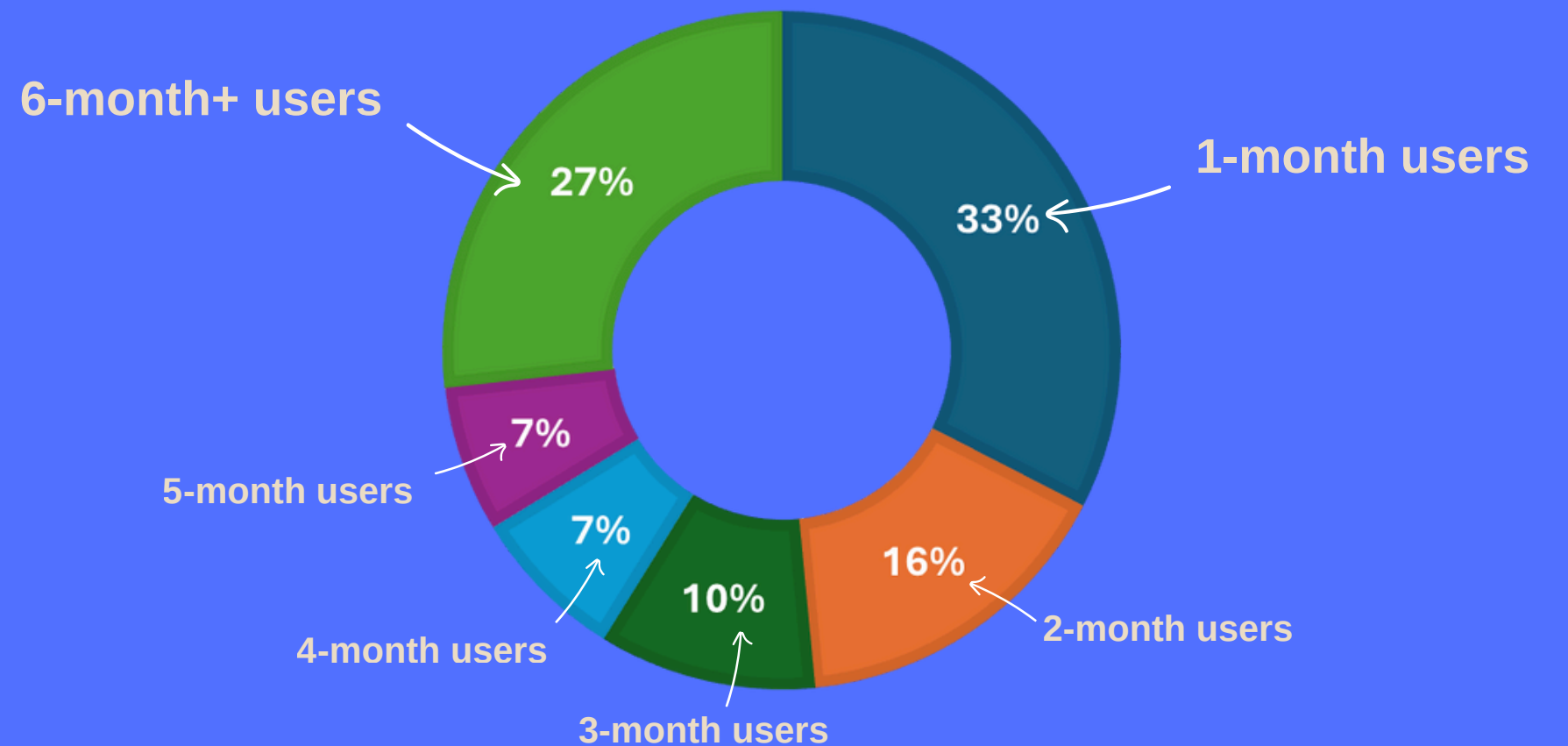
1 IN 3 USERS LEAVE AFTER THEIR FIRST MONTH

Problem = Early Retention

- 38% of 1-month bettors only place a single bet

Short-Term Bettors = “Samplers”

- They don't want to miss out on the big moments
- They bet less often, but at higher stakes (31% higher average stake than long-term bettors)
- Surge of 1-month bettors in February 2022 driven by the NFL playoffs
 - 46% of all playoff bettors did not return in March



A key to retaining short-term bettors will be linking them to future “big” moments (eg. directing NFL playoff bettors in February to late NBA games in the Western conference where seeding is decided).

THE SPORTSBOOK RELIES HEAVILY ON FOOTBALL

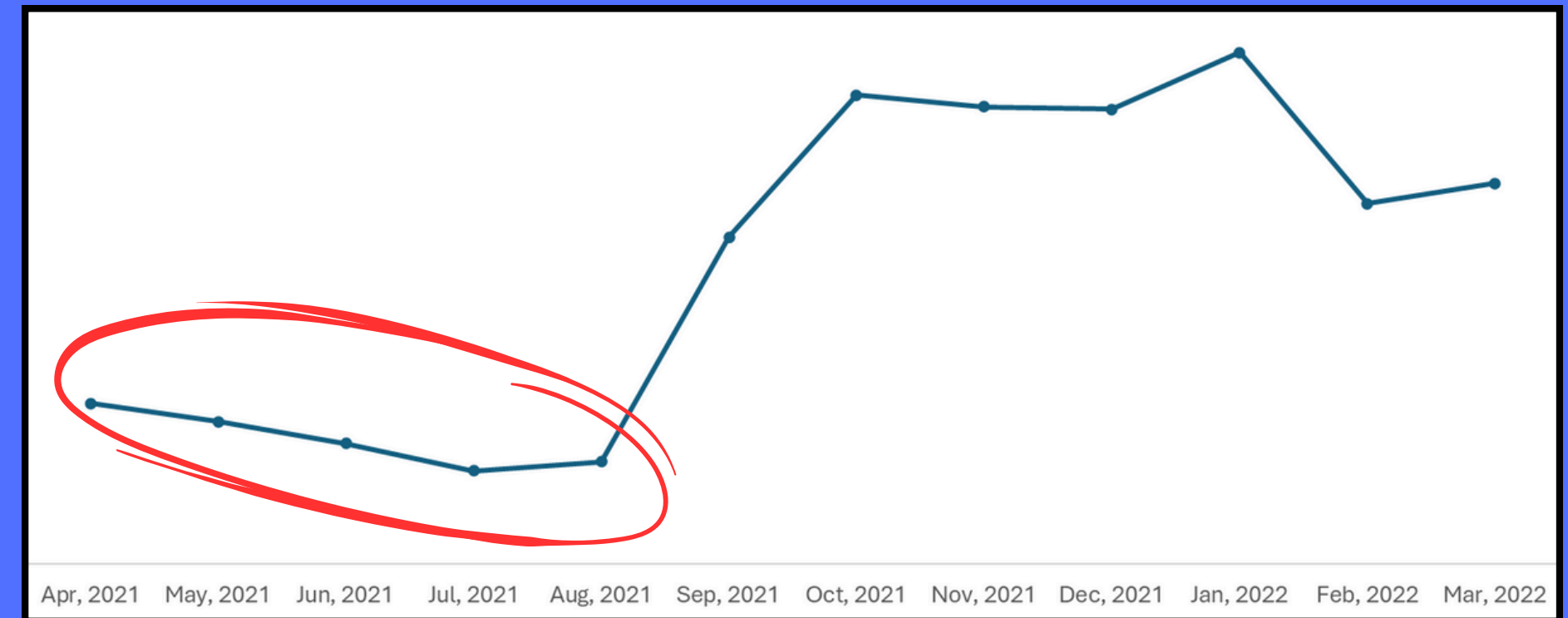
Problem = Performance Overdependent on Football

- NFL + College Football drive peak betting activity from October to January (>50% of all bets)
- When football season ends, a void is created from April to August (predictable seasonal volatility)

Who bets in April to August?

- **April to June:** NBA carries the load
 - NBA bets account for 50% of all wagers in this period
- **July to August:** MLB is the only anchor
 - MLB bets represent 93% of August wagers

Total Bets Placed April 2021 to March 2022



To smooth seasonality, we should convert NFL bettors into multi-sport bettors by guiding them into NBA and MLB during key high-interest moments (eg. NBA Play-In/Playoffs from April to June, MLB All-Star Game in July).

PARLAY-ONLY BETTORS ARE UNDER-LEVERAGED

Looking at user activity from Sept 2021 to March 2022

Problem = Parlay-Only Bettors Underperform

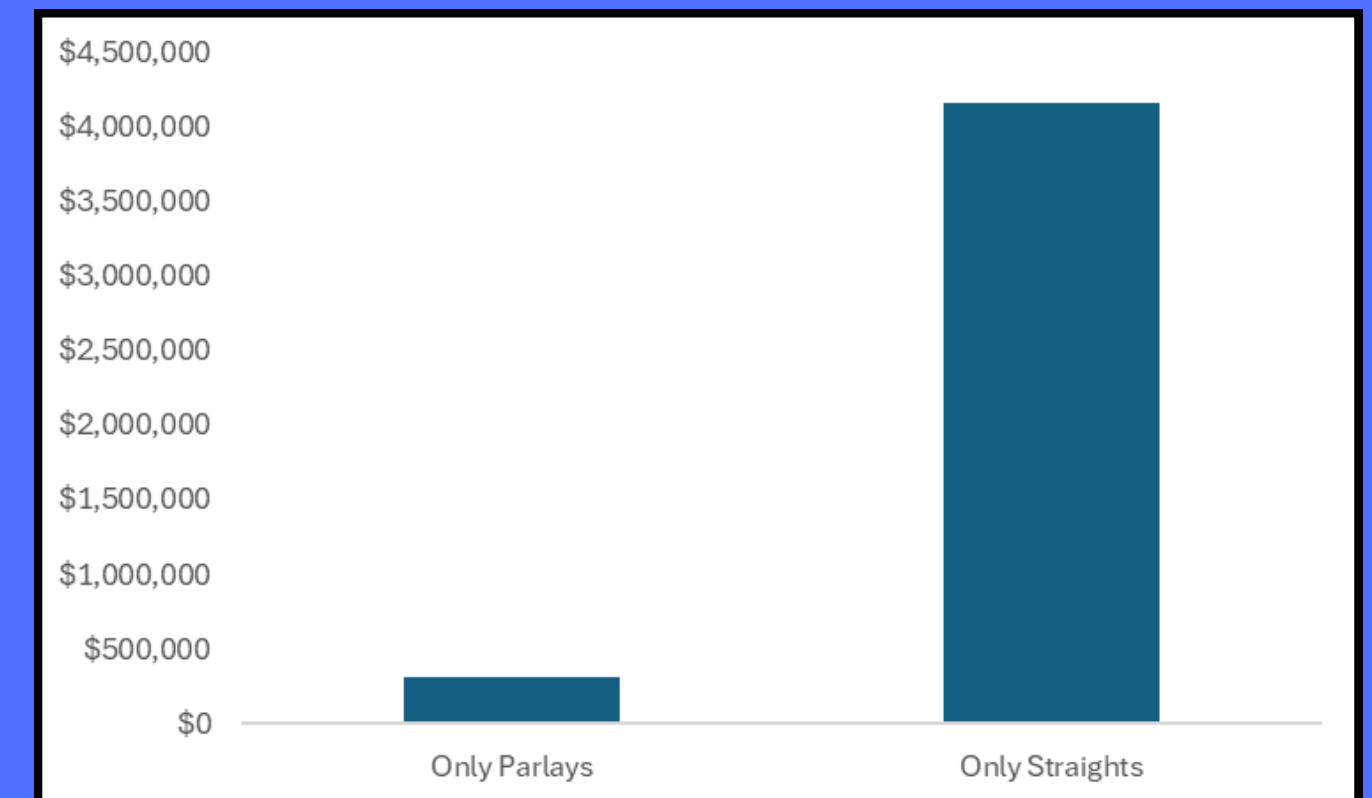
- They represent ~2400 users, roughly $\frac{1}{3}$ the size of the straight-only segment
- But despite their size, they generate 13x less handle than straight-only bettors
- Parlay-only players place almost 9x less bets than patrons that mix straights and parlays

Parlay-Only Bettors = “Dreamers”

- They chase high returns with odds 3x greater than most bettors
- This creates a negative feedback loop:

High Risk Bets ➡ Low Wins ➡ Fast Discouragement ➡ Less Activity

Total Handle (Parlay-Only vs. Straight-Only Bettors)



Users that only placed 1 bet were excluded from both groups.

We should introduce “low-risk, high-reward” straight-bet offers for parlay-only bettors to recreate parlay excitement while increasing win frequency, and long-term engagement (eg. boosted straights).

TURNING WEAKNESSES INTO CROSS-PLATFORM GROWTH



“Short-Term Bettors Churn”



Cross-Sell at Big Moments

- NFL playoff bettors churn after the moment ends
- Use the big events to introduce bettors to DFS for their favourite sports

“Football Seasonality”



Cross-Sell During the Offseasons

- During April → August we see less sports betting
- Shift historical sports bettors into Racing via Spring/Summer promotions

“Parlay-Only Bettors Underperform”



Redirect Risk-Takers

- High-odds seekers place lots sports bets overall
- Offering Casino jackpots can help satisfy these thrill bettors

Link big moments, offseason gaps and high-risk bettors to FanDuel’s other platforms to help reduce churn, smooth seasonality, and unlock more value from player segments.

THANK YOU

- All measures were derived from queries leveraging Pandas & SQL
- Notebook file (calculations), Excel Workbook (visuals) also submitted

